

Skill  Up **AI** in  The Garage

# INSIDE

# BUILD @ 2026

## EVERY HIGHLIGHT THAT MATTERS

>> Beyond the hype. Into **what's real**.



11<sup>TH</sup> JUNE, THURSDAY



3:00 – 3:30 PM



# Tezan Sahu

**Applied Scientist 2** · M365 Copilot Extensibility, Microsoft

PREVIOUSLY Bing Autosuggest & Search History



**IIT Bombay** — Mech. Engg **9.90/10**, Institute Rank **2** · Minor in CS



Author of **Beyond Code** — a National Bestseller



Writes **Low-Pass Filter** — a signal-over-hype AI newsletter



**7** US Patents · **2** Papers · Visiting Faculty, **Bower School**



M365 CORE · INDIA DEVELOPMENT CENTER

## 25,000+

students & professionals empowered  
in AI & Data Science

## ■ >> THE CONTEXT

# Build is Microsoft's biggest developer event of the year.

And last week, it went all-in on one idea: **agents**.

 San Francisco

 June 2, 2026

# 25+

major announcements

# 5

product waves

# 1

big shift

*25+ announcements is a lot. I'll spotlight the ~14 that matter — grouped into 5 waves.*





# You don't prompt AI anymore. It **works** for you.

## BEFORE



**You ask. It answers.**

A clever assistant — waiting on your next prompt.



## BUILD 2026



**You delegate. It acts.**

An always-on agent that runs, decides, and reports back.



# Agents that act

*What this wave is about: AI that does the work — with its own identity — instead of just answering.*



## Scout & Autopilots

- Always-on agents with their own identity
- Preps meetings & clears your inbox — unprompted
- Acts on your behalf, then reports back
- <https://aka.ms/m> (download & use Scout)



## GitHub Copilot App

- A desktop cockpit for coding agents
- Run many agents in parallel
- Plan → code → review → merge in one place



## Agent 365

- One control plane for every agent
- Each agent gets an Entra identity
- Governs third-party agents too



# Microsoft's own brain

*What this wave is about: Microsoft stops just reselling OpenAI — and ships its own frontier models.*



## MAI model family

- 7 in-house models: reason, code, voice, image
- MAI-Thinking-1  $\approx$  Claude Opus on coding
- Powers Microsoft's own surfaces



## Frontier Tuning

- Build your own RL “hill-climbing” environment
- Tune MAI models on your data & workflows
- On par with GPT-5.4 at  $\sim 10\times$  lower cost — your model = your moat



## Copilot Super App

- Teased for this summer
- Chat + code + Autopilot, unified
- Coding for all knowledge work



# AI leaves the cloud

*What this wave is about: frontier-scale intelligence that runs on your desk — private, local, unmetered.*



## Surface RTX Spark

- Runs 120B-param models locally
- ~1M-token context, on-device
- No cloud, no token bill, no internet



## Aion on Windows

- Open-weight reasoner inside Windows
- Local & unmetered — no per-token cost
- Summarize, rewrite & reason offline



## Project Solara

- Agent-first platform & devices
- A wearable badge + a desk clock
- Built around AI, not apps



# The builder's stack

*What this wave is about: where YOU plug in — the grounding, models and platform to ship real agents.*



## Microsoft IQ

- Context layer: Work + Fabric + Web IQ
- Grounds agents in YOUR work
- Respects permissions & labels



## Azure AI Foundry

- Agent Framework 1.0, production-ready
- 11,000-model catalogue, one endpoint
- Hosted agents + self-optimizer



## Claude + GPT-5.5 on Azure

- Opus 4.8 & GPT-5.5, first-class
- One Azure bill, identity & SDK
- Pick any model — even rivals'





# AI does science

*What this wave is about: agents accelerating discovery itself — not just your calendar.*



## Microsoft Discovery

- An agentic platform for real R&D
- Runs the full research loop autonomously
- Invented a new datacenter coolant in ~200 hrs — not analyzed, invented



## Majorana 2

- A topological quantum chip — AI-assisted design
- Qubits 1,000× more reliable than last year
- Pulls practical quantum forward to 2029



# Three things to take back to your desk



01

## Think in agents, not features

Ask: what in my work would I hand to a junior colleague? That task is your first agent.



02

## Build for “yours”

The moat isn't the model — it's grounding in your context, identity and governance.



03

## Local is a real option now

Privacy- or cost-sensitive AI no longer has to live in the cloud. Plan for on-device.

**Reality check:** much of this is preview / waitlist, and the big benchmark numbers are Microsoft's own. Try before you believe.



# Everything else worth knowing

## Web IQ

AI-native web grounding, ~2.5× faster retrieval

## Work IQ APIs

Workplace intelligence via REST / A2A / MCP

## Foundry Hosted Agents

Sandboxed runtime + self-improving optimizer

## Agent Control Spec

Open guardrail standard (+ Adaptive Evals, ASSERT)

## Intelligent Terminal

Agent-native CLI + Linux coreutils on Windows

## Windows Agent Runtime

OS-level agent sandboxing via MXC containers

## Windows 365 for Agents

Run any agent in an isolated cloud PC

## Fabric DW on GPU

Eligible warehouse queries up to 7× faster

## Azure HorizonDB

Managed Postgres, ~3× throughput + vectors

## MAI Code-1-Flash

Microsoft's own 5B coding model, now in VS Code

## Cobalt 200 + Maia 200

Next-gen Azure CPU / AI silicon + MRC network

## Rayfin

Agent-first backend-as-a-service on Fabric

## Purview + Defender

Runtime DLP, model scanning, 100+ bug-hunt agents

## Copilot Credits + M365 E7

Metering & licensing for agents at scale





# MICROSOFT BUILD 2026

## 28

### THE AGE OF AGENTIC EVERYTHING

MAJOR ANNOUNCEMENTS

AGENTS EVERYWHERE

SCIENCE ACCELERATED

BUILDERS EMPOWERED

SECURE BY DESIGN

I DON'T TAKE VACATIONS. I TAKE HEARTBEATS.



TL;DR AGENTS RUN. SCIENCE LEAPS. DEV FLOW SOARS. MICROSOFT WINS?

OUR VISION: EVERY PERSON & EVERY ORGANIZATION ACHIEVES MORE!

#### 1 SCOUT / AUTOPILOTS 9/10

- Your always-on AI colleague.
- Owns an identity (Entra ID)
  - Heartbeat mode (15-120 min)
  - Creates files, runs commands, browsers, launches sub-agents
  - Grounded in Work IQ - acts WITHOUT asking approval



The leap from assistant to COLLEAGUE.

#### 2 MAJORANA 2 QUANTUM BREAKTHROUGH 9/10

- 1,000x more reliable qubits
- ~20 second avg lifetime (some hit 60s!)
- New materials: Lead + Indium Arsenide
- Designed with Microsoft Discovery's agentic AI



2029 IS CLOSER THAN YOU THINK!



#### 3 GITHUB COPILOT APP 8/10

Your multi-agent dev cockpit.



- Parallel agent sessions via git worktrees
- Unified Issues / PR inbox
- 3 modes + Agent Merge
- Cross-device handoff (Mobile)
- Manage a TEAM of agents from one app.



#### 4 MAI FAMILY 7 MODELS 8/10

Microsoft's frontier model family.

- MAI-Thinking-1 - reasoning (35B active / ~1T total)
- MAI-Code-1-Flash - agentic coding
- MAI-Image-2.5 - top-tier text-to-image
- MAI-Voice-2 - voice gen
- MAI-Transcribe-1.5 - speech-to-text

Matches Claude Opus 4.6 on coding benchmarks!



#### 5 SURFACE RTX SPARK DEV BOX & LAPTOP ULTRA 8/10

Frontier power on your desk.

- Dev Box: 1 PFLOP, 128GB memory, runs 120B LLMs locally (~1M token context)
- Laptop Ultra: 2000-nit 15" mini-LED, RTX Spark superchip
- DGX Station for Windows - 1 TRILLION param models



No cloud. No token meter. Just RAW POWER.

#### 6 MICROSOFT DISCOVERY + FRONTIER TUNING 8/10

Agentic platform for R&D.

- Full loop: hypothesis + validation
- New coolant in ~200 hours
- Helped design Majorana 2
- Frontier Tuning (RL) teaches models YOUR workflows
- 13% → 87% task completion
- 10x cost reduction



AI does REAL discovery.

#### 7 COPILOT "SUPER APP" 7/10

Teased... not shipped.

CHAT CODE COWORK AUTOPILOT

ONE APP TO RULE THEM ALL

"COME SUMMER..." - SATYA



#### 8 PROJECT POLARIS 7/10 (Reported)

- Copilot reportedly cuts the OpenAI cord.
- Default to Microsoft model (MAI-Code-1-Flash)
- Multi-agent VS Code

Press-reported, not officially confirmed.



#### 9 FOUNDRY MODEL CATALOGUE 7/10

- 11,000+ models. One endpoint.
- GPT-5.5 / 5.5 Pro - GA June 3
- Claude Opus 4.8 - preview
- MAI models - in catalog
- Fireworks AI - fast open-source

One Azure bill. One SDK. Any model.



#### 10 AUTOPILOT MODE 7/10 (for Copilot)

- Assign and walk away.
- Background, unattended issue resolution
- Feature branch commits
- Human approval before merge



"AI closed my ticket" overnight.



#### 11 UNMETERED INTELLIGENCE AION 1.0 7/10

Free local reasoning in Windows.



- Aion 1.0 Instruct - preview
- Aion 1.0 Plan - 14B params, 32K context, tool calling
- Ships IN-BOX with Windows
- Expanded Windows AI APIs

Private. Free. No token bill.



#### 12 PROJECT SOLARA 7/10

Agent-first OS for non-PC devices.



- Agent OS + always-on assistance
- MDEP OS + Agent Shell
- Managed by Intune, Entra ID

Early concept - look!

#### 13 MICROSOFT IQ 6/10

The context layer.

- Work IQ (M365 signals)
- Fabric IQ (business data)
- Web IQ (fresh web via Bing)
- Permissions & labels preserved

Context is the new MODEL.



#### 14 WEB IQ 6/10

AI-native web search for agents.



2.5x FASTER!

- Discovers, ranks, extracts
- Built on Bing infra
- Limited access (waitlist)

Finally, feels. Beirut. over SHADOW AGENTS.

#### 16 WINDOWS AGENT RUNTIME + MXC 6/10

OS-level safety for agents.



- 8 containment backends (Process, WSL, VM, etc.)
- OpenClaw & OpenShell run inside MXC
- Windows 355 for Agents (GA)
- Day-0 ops agents. HANDLED.

#### 17 FOUNDRY HOSTED AGENTS 6/10

Managed runtime for agents.

- Isolated sandbox per session
- Foundry IQ - unified retrieval (SLA-backed)
- Agent Optimizer - auto improve
- One-click publish to Teams / 365

Early-2 ops for agents. HANDLED.

#### 18 MAF 1.0 6/10

One SDK to rule agents.

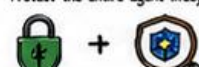


- GA with Python & .NET
- Skills, memory, context, middleware = building blocks

Goodbye framework chaos!

#### 19 PURVIEW DLP + DEFENDER SCANNING + MDASH 6/10

Protect the entire agent lifecycle.



- Runtime DLP - stop data leaks
- Model scanning - catch bad models
- MDASH - 100+ agents hunt exploitable bugs

"100+ AI agents on bug hunt!"

#### 20 FABRIC WAREHOUSE GPU ACCELERATION 6/10

Up to 7x faster analytics.



- Eligible queries on NVIDIA GPUs
- Up to 7x vs. top 3 rivals\*
- Early access soon

Benchmark it. Believe it. (Or debate it.)

#### 21 INTELLIGENT TERMINAL + COREUTILS + DEV CONFIGS 6/10

Windows dev experience leveled up.



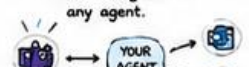
- AI agent pane (ACP protocol)
- Windows Coreutils (ls, cat, cp...)
- dev-config.winget - one file sets up your dev box
- WSL Containers & more

Finally feels like Linux. On Windows.



#### 22 WORK IQ APIS 5/10

M365 intelligence for any agent.

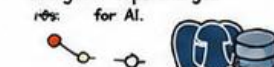


- REST, A2A, MCP
- GA June 16, 2026
- No extra cost for M365 Copilot users

Signal graph as a developer primitive.

#### 24 COBALT 200 VMS + 5/10

Postgres + supercharged for AI.



- Preview
- >3x faster transactions
- Native AI + vector search

Microsoft's answer to Aurora / AlloyDB.

#### 25 RAYFIN 5/10

Backend SDK for agents.



- Describe app → get typed backend
- Open-source SDK/CLI
- Ships to Microsoft Fabric
- Data lands in OneLake

BUILDING THE PLATFORM FOR EVERY AGENT.

EVERY INDUSTRY. EVERY PERSON.

#### 26 ACS + ADAPTIVE EVALS + ASSERT 4/10

- ACS - 8 runtime interception points (preview)
- Adaptive Evaluations - policy as tests
- ASSERT - open-source safety evals

Prototype fast. Production safety.



#### 27 COPILOT CREDITS + M365 E7 4/10

- \$0.01 / credit
- Pay-as-you-go or packs
- Off by default

Business plumbing that makes it real.



E7 = E5 + Copilot + Entra Suite + Agent 365



#### 28 FABRIC IQ ONTOLOGY + RAYFIN → ONELAKE 4/10

Shared semantics for business.



Agents understand your business.



#### THE BIG PICTURE



THE FUTURE ISN'T COMING. IT'S ALREADY CODING.

STAY CURIOUS. KEEP BUILDING.





# That's all, folks.

For more **AI** & **Data Science** content — let's connect.



**LinkedIn**

`in/tezansahu`



**Low-Pass Filter**

`the signal-over-hype AI newsletter`